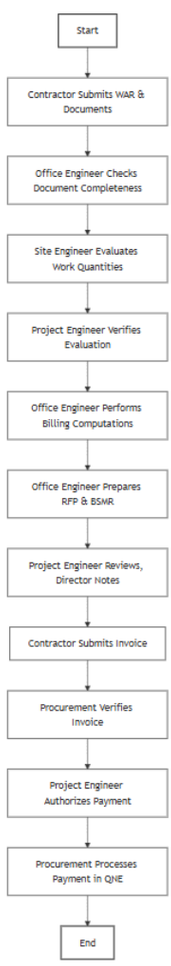
OBJECTIVE	This procedure outlines the process for managing and processing payments to contractors working on BHBI projects. The aim is to ensure that payments are made accurately, on time, and in accordance with the terms and conditions of the subcontract agreements. It also defines the different billing types and their specific requirements.
SCOPE	This procedure applies to all payments made to contractors for work performed on BHBI projects. It covers the following billing types: • Down Payment (DP) • One-Time Billing (OTB) • Progress Billing (PB) • Final Billing (FB) • Retention Billing

Responsibilities

- **Procurement:** Responsible for managing the contractual aspects of subcontractor payments, verifying invoices against subcontract agreements, and processing payments through the QNE system.
- **Project Engineer:** Responsible for overseeing the subcontractor's work, approving completed work, and authorizing payments to subcontractors.
- **Site Engineer:** Responsible for monitoring the subcontractor's progress on-site, evaluating Work Accomplishment Reports (WARs), and verifying the quantities of work completed.
- **Quantity Surveyor:** Responsible for reviewing and validating the cost aspects of subcontractor payment applications, including verifying quantities, rates, preparing the Recommendation for Payment (RFP) and Billing Status Monitoring Report (BSMR).
- **Office Engineer:** Responsible for checking and reviewing the completeness of billing documents submitted by the contractor, maintaining payment documentation, and forwarding the WAR to the Site Engineer for quantity evaluation.
- **Contractor:** Responsible for submitting accurate and timely payment applications with complete supporting documentation, including the WAR, and for reconciling any discrepancies in quantities or rates.

Flowchart



Procedure

4.1. Billing Types:

- **Down Payment (DP):** An advance payment made to the contractor, typically a percentage of the total contract amount, as agreed upon in the contract. The recoupment of the down payment is deducted from the contractor's progress billings.

- **One-Time Billing (OTB):** A non-recurring payment option for contracts with a duration of 1 month or less. Payment is made upon 100% completion of the work. Requires a Certificate of Completion signed by the Project Engineer.
- **Progress Billing (PB):** Recurring payments made to the contractor based on the progress of work completed, as per the agreed payment schedule. Requires a Work Accomplishment Report (WAR) detailing the completed work for the billing period, and other supporting documents as defined in the Billing Requirements Checklist.
- **Final Billing (FB):** The last payment made to the contractor upon 100% completion of all work under the contract. Requires a Certificate of Completion signed by the Project Engineer.
- **Retention Billing:** Release of the retention amount held back from progress payments, typically done after a specified period (e.g., 60 days or more) following the issuance of the Certificate of Acceptance. Requires a Certificate of Acceptance issued by the Project Engineer.

4.2. Work Accomplishment Report (WAR) Preparation and Submission:

- **Contractor Preparation:** For Progress Billing, the Contractor prepares a Work Accomplishment Report (WAR) [Template: T-CBILL-001] that details the work completed during the billing period. The WAR includes:
  - Contractor's Company Details
  - Work Package (Contract Name)
  - PO Reference No.
  - Project Name
  - Developer (Client)
  - Location
  - Description of Work (as per PO)
  - Unit of Measurement (UOM)
  - Original Contract (Quantity, Rate, Amount)
  - Adjusted Contract (if any variations)
  - Progress Photos
  - **Deliverables:** Work Accomplishment Report (WAR) - [T-CBILL-001]
- **Contractor Submission:** The Contractor submits the WAR along with other required documents, as per the Billing Requirements Checklist, to the Office Engineer.

4.3. Billing Requirements Review:

- **Completeness Check:** The Office Engineer receives the billing documents from the Contractor and checks the completeness of the submission against the Billing Requirements Checklist.
- **Incomplete Submission:** If documents are incomplete, the Office Engineer returns the submission to the Contractor for re-submission.
- **Complete Submission:** If documents are complete, the Office Engineer receives the Contractor's billing and forwards the WAR to the Site Engineer for quantity evaluation.

4.4. Work Accomplishment Evaluation:

- **Site Engineer Evaluation:** The Site Engineer evaluates the billable quantities in the WAR by:
  - Visiting and inspecting the site to check the quantities.
  - Verifying that the claimed activities are installed on-site.
  - Checking that the work meets the required quality standards.
- **Dispute Resolution:** If the Contractor disagrees with the Site Engineer's evaluation, they must reconcile the differences with the Site Engineer.
- **Site Engineer Signature:** The Site Engineer signs the WAR, indicating their evaluation of the "reconciled quantities."
- **Project Engineer Verification:** The Project Engineer reviews and verifies the Site Engineer's evaluation and signs the WAR.
  - **Deliverables:** Evaluated and Signed Work Accomplishment Report (WAR)

4.5. Billable Amount Computation and Verification:

- **Office Engineer Computations:** The Office Engineer performs all computations related to the billing amount. This includes:
  - Calculating the total billable amount based on the Site Engineer's evaluated quantities and the contract rates.
  - Calculating deductions for down payment recoupment, retention, and any other applicable charges.
  - Preparing the Recommendation for Payment (RFP) and the Billing Status Monitoring Report (BSMR).
- **Quantity Surveyor Support:** The Office Engineer may consult with the Quantity Surveyor for assistance with complex calculations or any disputes related to cost.
- **Signatures:** The WAR is signed by:
  - Site Engineer (evaluating "reconciled quantities")
  - Office Engineer (performing billing computations)
  - Project Engineer (verifying the evaluation and computations)
  - Contractor (conforming to "reconciled quantities" and computations)

4.6. Recommendation for Payment and Billing Status Monitoring Report:

- **RFP Preparation:** The Office Engineer prepares a Recommendation for Payment (RFP), summarizing the net amount payable to the Contractor.
  - **Deliverables:** Recommendation for Payment (RFP)
- **BSMR Preparation:** The Office Engineer prepares a Billing Status Monitoring Report (BSMR) to report the Contractor's contract status.
  - **Deliverables:** Billing Status Monitoring Report (BSMR)
- **Review and Approval:** The RFP and BSMR are reviewed by the Project Engineer and then noted by the BHBI Director.

4.7. Payment Processing:

- **Invoice Submission:** Once the WAR, RFP, and BSMR are approved and the other requirements are complete, the contractor submits a formal invoice to Procurement.
- **Invoice Verification:** Procurement verifies the invoice against the approved payment application (WAR, RFP, BSMR) and the subcontract agreement to ensure accuracy and consistency.

- **Payment Authorization:** The Project Engineer authorizes the payment based on the approved documents.
- **Payment Processing:** Procurement processes the payment to the subcontractor according to the payment terms specified in the subcontract agreement. Payments are recorded and tracked in the QNE system.
    - **Deliverables:** Payment Records in QNE
- **Payment Notification:** Procurement notifies the subcontractor when the payment has been processed.

4.8. Special Cases:

- **Down Payment:** Processed as an advance payment, with recoupment tracked in the BSMR and deducted from subsequent Progress Billings.
- **One-Time Billing:** Requires a Certificate of Completion signed by the Project Engineer.
- **Final Billing:** Requires a Certificate of Completion signed by the Project Engineer.
- **Retention Billing:** Requires a Certificate of Acceptance issued by the Project Engineer, typically 60 days or more after the Certificate of Completion.

4.9. Documentation and Record Keeping:

- **Payment Records:** Procurement maintains accurate records of all payments made to subcontractors, including payment applications, invoices, approvals, and payment confirmations, within the QNE system.
    - **Deliverables:** Payment Records in QNE
- **Filing:** The Office Engineer is responsible for filing and archiving all physical payment-related documents, including the WAR, RFP, BSMR, COC, COA and other supporting documents.

Continuous Improvement:

- Regularly review and update this procedure to incorporate lessons learned and improve the efficiency of the subcontractor payment process

Records Generated (Deliverables)

- Work Accomplishment Report (WAR) -
- Evaluated and Signed Work Accomplishment Report (WAR)
- Recommendation for Payment (RFP)
- Billing Status Monitoring Report (BSMR)
- Purchase Order (PO)
- Certificate of Completion (COC)
- Certificate of Acceptance (COA)
- Subcontractor Invoice
- Payment Records in QNE

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